11/14/2023 - Brooklyn Union & KeySpan Gas - 23-G-0225/0226

STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 23-G-0226 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

PUBLIC STATEMENT HEARING

DATE: November 14, 2023 at 1:23 p.m.

LOCATION: Brooklyn Central Library
The Dweck Center
11 Grand Army Place
Brooklyn, New York 11238

BEFORE: ALJ DAKIN D. LECAKES
ALJ MAUREEN F. LEARY

Reported by Danielle Christian

(The hearing commenced at 1:23 p.m.)

A.L.J. LEARY: On the record. I call Case 23-G-0225, Proceeding on Motion of the Commission as to Rates, Charges, Rules and Regulations of the Brooklyn Union Gas Company doing business as National Grid New York for Gas Service. There's a second case that Mr. Dicicco is not, I believe, strictly within this service territory, but the accompanying case is Case 23-G-0226, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation doing business as National Grid for Gas Service.

The service territory for that company is on Long Island. The company we call KEDNY, as Judge Lecakes advised you, is really going to be the focal point of this public statement hearing, and I assume you are rate payers here in Brooklyn.

Again, welcome. I want to just go through a little bit of what this hearing is about today. It's all about hearing your comments. This hearing was noticed by the Secretary to the Public Service Commission on October 16th, 2023. That was a formal notice that's filed on our website. It's available to you. I also brought copies of it in

both English and Spanish that are at the registration desk.

And we do not have a translator yet, but if you need -- you -- you are here? Great. Will you see Sangeetha at the registration table? She should be right out there with the equipment. We do have a translator if you need language access help if you're Spanish speaking.

Again, my name is Maureen Leary, I am an administrative law judge for the Department of Public Service. There's a third administrative law judge. His name is James Costello, and the two of us, with Chief Judge Lecakes, are responsible for overseeing this proceeding. It's a very complicated one. Rate cases are. But we're responsible for hearing you today and for also compiling a complete record for the Commission's consideration.

And our Commissioners are six at this time. Our chair is Rory Christian. He may be here this evening if you want to come back. Or, no, he's in Mineola tomorrow if you want to head out to Mineola. He very often participates in these, as do many other Commissioners. The other Commissioners are Diane Burman, James Alesi, let's see, John

Maggiore, David Valesky and --

A.L.J. LECAKES: John Howard.

A.L.J. LEARY: -- John Howard. I get the first names mixed up a little bit but anyway. So as some of you know, we held a virtual public statement hearing back in August. Some of you may have spoken. I do want to tell you there are not so many people here, but if you have provided comments at a virtual or at an in-person hearing you don't need to come to another meeting. Your -- your comments will be noted in a transcript that this young woman, Ms. Christian, is keeping for us. And that transcript will be posted to the Department's website.

So this hearing is all about the changes that Mr. Dicicco talked about and they are changes in gas delivery rates, and generally this case is an 11 month process. Sometimes a little bit more because the parties are in negotiations. But this process began in April, on April 28th, 2023, when the Companies filed proposals to increase their annual gas delivery revenues, which will be effective March 31st, 2024.

KEDNY proposes to increase its

revenues by $414 million, representing a 28% increase in base delivery revenues or a 17% increase in total revenues. They would be -- those increases will be reflected on your utility bill. The actual bill impacts on various customers is not subject to a definitive statement right now. As you heard from Mr. Dicicco, the typical customer will pay about 20% more, about $34 more per month.

And yet customers are in all different kinds of classes. Most of you here are probably in a residential class. There are commercial classes if you own a small business. There are industrial classes if you own a real big business. All of those rate impacts will be different.

So what's our role today? We're really just here not in a question and answer mode or an evidentiary hearing mode. But to listen to you, to listen to what your position is on this rate filing. I want to make sure that you know that the two numbers I called, one of which is 23-G-0225. The other is 23-G-0226, they're your entrance into our website to gain information about the case and the filing and peoples' positions. And they file testimony in there, there are motions in there.

There's a lot of information that you can access but you need those two numbers, so please take note of those.

So I mentioned this a minute ago. Many rate case filings result in a negotiated settlement. And it's -- it's actually a really good thing. That may happen here. But, again, you will be given an opportunity to comment on whatever settlement agreement is reached in writing. And remember the commission is the ultimate decision maker and they will review the entire record, including your comments in this proceeding. Your comments are important. But they will -- they will make the decision here.

So let me tell you a little bit more about the process today that we're going to follow. I'm going to call the registered speakers up in the order in which they registered. I think you can come up here to this podium. We'll hear you over here but it's effective for people to address the audience. And please when you come up, after I've called your name, state your name very clearly and spell your last name for the court reporter so that she makes sure that it is correct.

You want to be speaking slowly. I'm not the slowest speaker but it's very helpful for the court reporter to take down your words accurately if you put a little bit of a pace on them that's a little bit slower maybe than normal. I'd also like to stress that this is not your only opportunity to comment. You can comment in other ways. The notice that I have in written form at the registration desk will give you those other ways to comment, one of which is to e-mail the Secretary. The other is to post your comment in this case on our website.

Again, explore the website or if you have any questions you can come up and see me about accessing it. You can also just submit something in writing and send it by snail mail. However you choose to do it, your comment will become a part of the record in this proceeding and it will be considered by the Commission. They're very important. So if you'd like to make a statement today and you've not already done so, please return to the registration table, complete a card and our Office of Consumer Services and public outreach folks will bring it to me. And -- and we'll get you up here to speak.

So last I would ask everyone just to be respectful of all the speakers today. Applause, of course, is always good but heckling isn't. So please be respectful. If you have really lengthy comments, I would ask that you summarize those and then submit them in writing to the Commission just so we save a little bit of time and can hear from everyone. We don't have that many speakers so I'm not going to impose a time limit, but do be respectful that there are other people after you that may want to speak.

So with that I'm going to call our first speaker. And it is Cheryl Saunders. Cheryl Saunders, come on up. And Andrew Saavedra, you are on deck.

MS. SAUNDERS: Thank you, Judge Leary, for this opportunity to share. Cheryl Saunders, consultant for the Positive Community. Saunders, S-A-U-N-D-E-R-S. We are delighted to state that National Grid has been supporting and partner with our community's nonprofits, neighborhoods, churches and local media.

Rudy Mint -- Rudy Winter, the president of National Grid and his team are doing the

right thing. We believe National Grid continues to be fair and move our society forward. This utility is a model that corporate America needs to follow. Rudy Winter addressed the African American clergy --.

A.L.J. LEARY: Hold on one second. I'm sorry.

MS. SAUNDERS: Yeah. Rudy Winter addressed the African American clergy and elected officials during a breakfast meeting at Antioch Baptist Church in Brooklyn. Not only did National Grid sponsor the breakfast but also Mr. Winter was there from 8 a.m. until the end of the meeting around 11:30. During this meeting he and his team shared National Grid's Project C initiators.

The goals included reducing reliance on the energy and oil and natural gases as well as increasing energy efficiency. In addition, National Grid is dedicated to ensuring equitable and safe, clean energy by providing reliable, affordable energy for all New Yorkers.

On March 30th, 2023 at the Greater Harlem A.M.A. Church in Jamaica Queens, National Grid launched the grid collective which is a growing green businesses of job opportunities. The public was

invited to a workshop to help promote their programs of offering training and certifications for clean energy job opportunities that would lead to well-paying careers. So clearly National Grid wants to make sure that brown and black communities are not left behind.

The Positive Community is a black-owned profit media organization and the Positive Community is proud to be a partner with National Grid. And we're very proud of our collective journey to continue to achieve equitable and clean energy future for its New Yorkers. Thank you.

A.L.J. LEARY: Thank you. Andrew Saavedra and Jodie Leidecker, you are on deck.

MR. SAAVEDRA: Okay. How does this sound? Is this okay? It's Andrew Saavedra. The last name is S-A-A-V-E-D-R-A. Good afternoon, Judge Leary and Chief Judge Lecakes. Like I said, my name is Andrew Saavedra and I'm an attorney with the Public Utility Law Project of New York, a.k.a. PULP. I'm also a National Grid customer.

PULP is a 40-year-old nonprofit whose mission is to educate, advocate and litigate on behalf of low and fixed-income utility customers

throughout New York State. I'm here this afternoon to highlight some of PULP's concerns with National Grid's proposed rate increase and to encourage the commission to closely examine this requested increase to ensure that customers are not saddled with unjust rates.

During the August public statement hearings on this rate case, I noted that in June of 2023 there were 253,682 accounts in the company's service territories that were at least 60 days behind on their gas bills. As of September there were 244,450 accounts at least 60 days behind. A reduction of roughly 9,000 households. While this is an encouraging development, the fact remains that these families owe a combined $177 million in past due bills.

Moreover, there are provisions in this rate case that could place all ratepayers on the hook for over $2 billion in costs incurred by National Grid. If you were to walk a few -- a few blocks west of here down Union you would eventually cross the Gowanus Canal, a superfund site. National Grid is one of many entities that have been identified as partly responsible for the pollution of the canal and

will be charged a proportional rate of the share of cleanup costs.

Under this proposed rate case, National Grid will be permitted to recover these cleanup costs along with those incurred at the Newtown Creek Superfund site from its customers through increases in our monthly bills. As of 2022, National Grid's deferred environmental cost balance, that is the amount that it eventually expects to collect from ratepayers to pay for cleanup, had risen to just over $2 billion.

PULP has proposed that instead of saddling these costs entirely on the customers, National Grid should, at the very least, share the burden by using a greater share of its profits above their allowed return on equity to pay down the deferred environmental cost balance. This is just one of many issues that PULP has written about in our initial and rebuttal testimony in this case, and we continue to be an active participant as the process continues. We looked forward to continuing our advocacy on behalf of low and fixed-income New Yorkers and I appreciate you both taking the time to listen today. Thank you.

A.L.J. LEARY: Thank you. Ms. Leidecker? Great. Come down. Excellent. And Celeste Streeter is on deck next.

MS. LEIDECKER: Hi, my name is Jodie Leidecker. It's spelled L-E-I-D-E-C-K-E-R. I'm here to say that National Grid is for profit. To increase profits they want to tie us to more and more fossil fuel infrastructure. In May they reported their profits went up 12% to 4.9 billion British pounds while the majority of New Yorkers are already rent burden and becoming increasingly utility burdened.

I also found today that Fortune magazine said their profits went 192%. That's on the backs of working people. Now my house is just a few steps from the National -- from the North Brooklyn pipeline, and if it's leaking I will bear the health effects as I age. Every four days in America we know a pipeline explodes, and I am living near unnecessary risk to my health and life so National Grid can continue to increase profits on those outdated infrastructure.

So we need to end our reliance on fossil fuels like the Greenpoint Energy Center. And those things are barely used. They're unnecessary,

they're extremely risky and we have growing climate risks. We've had recent hurricanes, smoke emergencies and ongoing unsafe air from climate change that's only going to intensify.

That's why I'm here today to say we need to get rid of and not replace the gas infrastructure because New York State Law requires that we get off all fossil fuels by 2050. But we don't want to pay 3.8 billion for National Grid to invest in outdated gas systems that's going to keep bringing fossil fuels up into the 2080's. We want to retire the Greenpoint Energy Center, 287 Maspeth. We want an independent expert study to commence detailing a plan to retire the facility by 2030 permanently.

Our community previously fought for an independent expert study of L.N.G. vaporizers here and the findings showed that they were indeed not needed. We insist upon this same process for the Greenpoint Energy Center requested investments. We should not take National Grid's word that this facility is even needed let alone spend nearly half a billion dollars to expend -- extend its lifespan.

And last I'll say my dad was a union

millwright for decades, and my daughter is going to start an electrician training program. She wants to be a union person moving us off this outdated dangerous infrastructure to clean energy. I know my dad would be really proud of her. The personnel that install and maintain these fossil fuel infrastructure systems can use their skills to install and maintain safer climate friendly stuff like thermal energy networks. It's the exact same skillset. That's what John Murphy said who is representative for the New York State Pipe Trades Association. And thank you.

A.L.J. LEARY: Thank you. Ms. Streeter, come on up.

MS. STREETER: Good afternoon everyone. Good afternoon the Honorable Judge Leary and Judge Chief Lecakes. Thank you for allowing me this time to speak. Can you guys hear me? Okay. As a member of the Transport Workers Union Local 101 executive team I represent --. I'm sorry, I forgot to tell you my name.

A.L.J. LEARY: Yes.

MS. STREETER: My name is Celeste Streeter. Last name is spelled S-T-R-E-E-T-E-R. Okay. Good afternoon again. My name is Celeste

Streeter and as a member of the Transport Workers Union Local 101 executive team, I represent more than 1,500 National Grid employees in Brooklyn and Queens. My members and I are proud of the critical role we play in keeping lights and heat on year round even during extreme weather and the building infrastructure needed to achieve New York's clean energy goals.

National Grid's rate case proposal would assure the company has the resources it needs to continue providing safe, reliable service while supporting an equitable transition to clean energy. I'm sorry, my throat always gets dry when I public speak. As National -- as a National Grid employee, the members of T.W.U. Local 101 know for the -- from firsthand experience that the company is not just dedicated to providing reliable service to New York households and businesses but also to supporting the communities where we live, work and raise our families.

National Grid is the -- and for -- first and foremost an energy company with an obligation to provide dependable service to households and businesses in New York today.

However, the company is also on the frontlines of planning and executing New York's clean energy transition. National Grid takes these dual commitments -- planning dual commitments incredibly seriously and is working strategically to balance investments in our existing energy network that are needed to ensure safe, reliable service with new renewable energy projects that will enable us to meet the goals established in the Climate Leadership and Community Protection Act.

National Grid knows that skilled workers are essential to following through on these commitments and is working in close partnership with us and other unions to ensure we have the skills and support needed to build long-term careers in the energy industry. The company has made huge investments in educational programs and skills training with a focus on creating opportunities for people who have been shut out of the energy industry in the past. This commitment to support New York's existent energy workforce while building a more inclusive energy industry where all New Yorkers have a chance to succeed ensures we have the skills, workers -- we have the skilled workers we need to

follow -- to follow and achieve New York's clean energy commitments.

National Grid's dedication to customers and employees is impressive on its own. But National Grid goes above and beyond with investments in the communities our members and other employees call home from devoting hundreds of volunteer hours to projects in partnership with the Brooklyn Public Library, N.I.A. Brooklyn, Campaign Against Hunger, the Florence E. Smith Senior Service Center and City Parks Foundation to donating tens of thousands of dollars to local nonprofits like the Brave House, five -- Brave House, 500 Men Marketing Difference, City Growers, (unintelligible) Space, Sports Oriented Nurturing Youth Partnership and the Alex House project. Giving back to the community is at the core of National Grid's identity.

Clearly, National Grid is a valuable corporate citizen that goes above and beyond to support New York communities. As National Grid employee and residents of the communities the company serves, the members of the T.W.U. Local 101 are proud to support the company as it seeks resources needed to continue to -- needed to -- needed to continue the

critical work of providing safe, reliable and clean energy to New York. Thank you for your time.

A.L.J. LEARY: Thank you. Helene Filion Onserud. Is that -- am I messing --?

MS. ONSERUD: Onserud.

A.L.J. LEARY: What is it?

MS. ONSERUD: Onserud O-N-S-E-R-U-D.

A.L.J. LEARY: Oh, R, I'm sorry. Onserud.

MS. ONSERUD: No problem. No, it's Norwegian. Filion is French.

A.L.J. LEARY: Okay.

MS. ONSERUD: Good afternoon and thank you for allowing me to speak. My name is Helene Filion Onserud. I'm a member of the No North Brooklyn Pipeline Alliance, and I'm also a resident of Brooklyn. I think that over the last summer we all experienced the orange skies and the very unhealthy air quality levels from smoke of forest fires that came from 800 miles away. And also the intense flash floods upstate and one that paralyzed the city.

Those were tangible signs that the climate crisis is no longer in the future. But there

are other even more worrisome climate events that are much less tangible to us because they are far away. A recent research report about the situation with Antarctica was so alarmed to the scientists present that they issued a collective communication calling climate change an all-out emergency.

They warned that we barely have six years to avoid very serious irreversible chain reactions that will be beyond human control to stop. This is not to stop the impacts already with us but to avoid the point of no return. So we're barely on course to meet the target agreed upon in the Paris Accord. And I am concerned that government and corporations such as National Grid are operating as if business is as usual when we need to move as if we're on the edge of climate disaster, which we are.

As a social worker, I'm very concerned about the situation that -- the situations that are being created by the human -- the climate justice crisis as it already affects millions of people throughout the world. Most of them people of color of the global south. I am now facilitating groups of social workers from different countries in three different continents including Africa. And I get to

hear firsthand how this international crisis is affecting other parts of the world in extremely unfair ways.

While the request National Grid is making will have an immediate impact on the local level, this crisis is international, and every decision made will end up affecting everyone. So in the light of the fact that National Grid's request will affect the climate justice locally -- there's -- from a justice crisis locally as well as internationally, I ask the Public Service Commission to take very seriously the following point that Jodie already made.

Retire don't replace gas infrastructure. New York State Law requires that we get off all fossil fuels by 2050 to mitigate the climate disasters unfolding in real time in front of us. We should not be paying $3.8 billion for National Grid to invade -- invest in their outdated gas system that would keep us burning fossil fuels into the 2080's.

Retire the Greenpoint Energy Center at 287 Maspeth Avenue in Brooklyn. We want an independent expert study to commence detailing a plan

to retire the facility by 2030 permanently. Investing 447 million is an irresponsible use of our money. Our community previously fought for an independent expert study of L.N.G. liquefied natural gas vaporizers at the same facility before investing tens of millions of dollars in that project.

The findings shows that they were indeed not needed. We insist upon the same process for the Greenpoint Energy Center requested investments. We should not take National Grid's word that this facility is even needed let alone spend nearly half a billion dollar to expend its lifespan. The personnel that install and maintain fossil fuel systems can use their skills to install and maintain thermal energy networks, a really incredible way of thinking about energy for buildings in the future. It's the exact same skillset said John Murphy, the international representative for the New York State Pipe Trades Association that represents over 24,000 plumbers, steamfitters, sprinkler fitters and H.V.A.S. technicians across New York State. In short, we should not pay to be poisoned. Thank you.

A.L.J. LEARY: Thank you. So I've reached the end of all of our registered speakers. I

just want to ask if anyone who's in the audience would like to provide a public statement. Don't be shy. Okay. Let the record reflect that we have reached the end of our registered speakers providing comments, and I just want to remind all of you that there are other ways to comment.

This -- the mechanisms are in writing, they can come in by phone, by e-mail, by snail mail, et cetera. I also want to make sure you know that there are additional public statement hearings being held this evening. We will be here from 5 o'clock going forward for the second public statement hearing. At the same time there is a hearing out in Jamaica, Queens at the Oneness Pentecostal Tabernacle on Linden Boulevard.

And tomorrow, the 15th of November, there will be a public statement hearing at 6 p.m. at the Jewish -- Jewish Community Center on Staten Island. That's on Manor Road in Staten Island. And then tomorrow evening a hearing will be held at the Peter Schmidt Legislative Chamber out on Long Island in Mineola. That's on Franklin Avenue. That starts at 6 p.m. So we have two busy days of accepting public comments, and you're welcome to attend any of

those or to tell friends, family that live in the area. These hearings are open and we welcome their comments.

Again, thank you all for participating today. It's really important to our work that you're here, and I know it takes time out of your busy day to come here. And we much appreciate it. I want to thank the Brooklyn Public Library for having us. I don't know if there's a representative here but, you know, be vocal about that on your way out. Just tell them thank you. Many thanks to Ms. Christian. I'll see you tonight. And our Department outreach staff who are always wonderful. Thank you to the Company for your presentation and with that this hearing is concluded and we are off the record.

(The hearing concluded at 1:56 p.m.)

STATE OF NEW YORK

I, DANIELLE CHRISTIAN, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 24, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 20th day of November, 2023.

DANIELLE CHRISTIAN, Reporter